

Pay It Off!

It may sound obvious, but one of the most important things to realize about credit cards is that the credit card company's goal is to make money from your account. When they establish a low minimum monthly payment, they're not trying to do you a favor; they're trying to maximize their profits. When you pay the minimum payment, it's good for them, but not for you.



By paying credit card interest of \$50 a month you've lost the opportunity to invest that money: invested at 8 percent, \$50 a month would total over \$6,500 in eight years, the time it would take you to pay off a \$2,500 balance if you make only the minimum payment.

Until recently, the minimum monthly payment for most credit card companies was around 2 percent of the balance, including interest. If you made a purchase of \$2,500 at an annual interest rate of 18 percent, it would take you almost eight years to pay off the balance by making the minimum monthly payment. Initially, 2 percent of your balance would be a minimum payment of \$50, with around 75 percent, or \$37.50, going toward interest and only 25 percent, or \$12.50, reducing the amount you borrowed. You can see why it would take so many years to pay off your balance.

By the time you paid off the \$2,500, you'd end up paying interest of \$2,156 in addition to the \$2,500 principal you borrowed. Your \$2,500 item will have cost you \$4,656. How can you ever get ahead financially if you're paying such exorbitant prices? Around 2005, banks came under increasing pressure from regulators to increase the minimum payment. Some companies moved faster than others, but most moved quickly to raise minimum payments to 4 percent from 2 percent. While this helps you eliminate debt more quickly, it doesn't solve the problem for you.